

Bill Spencer

From: Adam Fyall
Sent: Thursday, June 22, 2017 11:18 AM
To: Ken Spencer; Tammy McKeirnan; Mary Christen; Adam Morasch; Bill Spencer; Keith Mercer; Jerome Delvin; Jim Beaver; Shon Small; Loretta SmithKelty; David Sparks; Paul Schut; Matt Rasmussen; Robert Blain; Ryan Brown; Sam Schneider
Cc: Adam Fyall
Subject: PILT 2017 & 2018 -- Update: 06/22/2017

A PILT update for you. There is good news, and not-so-good news...

2017

A few of you attended the stakeholder meeting we held last week at the Richland School District offices. The purpose there was to update our downstream PILT recipients regarding current PILT status and to preview the meeting Commissioner Delvin and I had with DOE-Richland brass yesterday afternoon.

Yesterday was a substantive first meeting with RL on this topic, and is a response to their previous letters requesting a revisitation of the terms of our 1996 PILT Settlement Agreement. Jerome and I were able to get the lay of the land from RL's perspective, hear their requests, and talk-through things at a high level. The most important takeaway of the moment, is that it appears that **2017 PILT for all three counties will be paid in-full (or almost full)**. This is due to the omnibus appropriations bill passed by Congress last month that added \$10 million to the "Community and Regulatory Support" line item that RL pays PILT from. Important to note is that this is a one-time fix and does not address the larger budgeting problem RL has with PILT now and into the future.

We agreed that the next step for our discussion will be to take this to a larger forum so that everyone can be on the same page with this topic. I will be working with the RL chief of staff to set a meeting for mid-to-late-July for all three counties and their constituent PILT stakeholders to go through 2017 and beyond. I realize we are coming into the time of year where vacations and other such things are common. Not everyone will be able to attend. We are just going to pick a mid-week date during the third or fourth week of July and go with it. We will probably hold that meeting here at the Justice Center in the Commissioners' Board Room.

2018

The early drafts of the 2018 president's budget as released by the Office of Management and Budget are not looking so good for PILT. First, the area of the RL budget from which PILT is paid ("PBS-100") is being reorganized. There will be only 5 obligations paid from this account, including PILT for all three counties. The preliminary 2018 number for PBS-100 is \$5.6 million, total. Considering that the 2017 combined 3-county bill for PILT is \$10.6 million (\$7.9M for BenCo), this is not a good starting point from our perspective. Other PBS-100 obligations as currently estimated for 2018 will leave about \$2.6 million available for PILT if things play-out as currently presented.

What Congress does with appropriations is another matter, but bear in mind that this preliminary budget calls for a \$115 million cut to Hanford cleanup and a significant reduction of funds to PNNL. It will be difficult for our congressfolk to fight for PILT money in the face of significant RIFs at Hanford and the Lab. While Senator Murray is the ranking member of the Appropriations Committee, her power has been curtailed by her minority status, with an Administration and Congress seemingly increasingly uneducated about or openly hostile toward the Department of Energy, Weapons Complex cleanup, and Hanford. Secretary Perry is due to visit Hanford later this summer.

All for now.
Adam

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